INTERNATIONAL MONETARY FUND (IMF)

The **International Monetary Fund (IMF)** was conceived by 45 States in the United Nations Monetary and Fiscal Conference held immediately after
the Second World War in Bretton Woods, New Hampshire, 1944. As a part of the “Bretton Woods Agreement” the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD) were evolved to stabilize the international monetary system in the aftermath of the ‘Great Depression’. IMF came into existence on 27 December 1945 when 29 countries signed the agreement, with a goal to stabilize exchange rates and assist the reconstruction of the world’s international payment system.

IMF therefore, functions as an organization to foster global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth, and reduce poverty around the world. As of 2011, IMF had 187 members. In April 2012, Republic of South Sudan joined the IMF, becoming the institution’s 188th member.

The purposes and functions of the IMF were stated to be:

1. to promote international economic cooperation,
2. to facilitate the expansion and balanced growth of international trade,
3. to create more employment opportunities,
4. to promote exchange rate stability,
5. to assist in the establishment of a multilateral system of payments,
6. to solve the problems of international liquidity by suggesting various measures including efforts by which resources are made available to member countries to meet balance of payments needs.

Its headquarter is in Washington, D.C. Each member country of the IMF is assigned a quota, based broadly on its relative size in the world economy. It is on the basis of this quota that a member’s organizational relation with IMF determines its voting power, Special Drawing Rights (SDR) and also access to financing. On 28 June